

Macro View | India Outlook 2025-26

Through the looking glass

India's economic outlook for 2025 is a mix of optimism and uncertainty. While macro fundamentals are likely to show increased strength, the path forward involves navigating an unconventional and unpredictable global environment.

The global economic outlook for 2025 has been complicated by the rising threat of US tariffs, continued geopolitical tensions, concerns around fiscal debt and inflationary risks in the West. The global economy is expected to slow down and grow between 2.5-3% from 3.2% in 2024 with diverging outlooks across regions - the US is expected to register above 2% growth while both China and the EU could face further headwinds.

India, on the other hand, is expected to grow at 6.7% in 2025-26 up from 6.4% in 2024-25. Consumer spending is expected to recover, primarily through a push from higher rural demand while urban demand continues to “mean-revert”. A moderation in inflation is expected to help support discretionary demand both in rural and urban areas.

Moreover, hiring intentions have started improving in the formal job market. This combined with government infrastructure spending, growth in the MSME segment and a continued upturn in the housing market is likely to support employment elsewhere.

Lastly, a rise in women labour force participation in rural areas, improvement in standard of living at the bottom of the pyramid and cash transfers under various schemes by the government is likely to help repair household balance sheets and spur demand on a more sustained basis.

That said, any sharp downturn in the equity market, headwinds from US immigration policies and a resurgence of domestic inflation (due to weather events) pose a risk to the extent of the upturn in domestic demand.

On investments, Government's capex spending is likely to continue supporting growth in FY26, pushing infrastructure and allied segments – roads, housing, logistics and railways.

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On the other hand, the private capex story is likely to remain uneven. Global overcapacity in segments like metals and refining, especially with the Chinese domestic economy slowing down, could limit large scale private capacity expansion in these sectors.

However, we do see green shoots in certain sectors with the MSME segment taking the lead for now in expanding capacity. Moreover, services like hospitality and restaurants, real estate, health and education are likely to drive fresh capacity creation.

Domestic manufacturing could get a boost from domestic demand improving, although export related sectors face uncertainty on account of any protectionist measures by the US and retaliation by other countries. A sharper slowdown in global growth and trade could act as a headwind for domestic exports and growth.

We expect the current account deficit to stand at 1.5% of GDP in FY25 and 1% of GDP in FY26. While services export growth is expected to remain healthy (led by professional and business services), goods exports could remain muted in the next fiscal. Given the volatility in foreign portfolio flows and tepid FDI flows, combined with the CAD balance, the balance of payments is seen in a deficit in FY25. Going into next fiscal, we could see some recovery and stabilisation in foreign portfolio flows as capital rotates from China into India and uncertainty around the Trump presidency subsides by H2 2025 to some extent.

Inflation is expected to remain elevated for the remaining part of FY25 with a moderation towards 4% only in FY26. **The RBI could remain cautious in pre-emptively cutting interest rates and we see a higher chance of a pause in the February 2025 policy, with a move more likely in the April policy.** Moreover, with rising expectation of a pause by the US Fed in the January policy and increasing depreciation pressures on the rupee, the RBI could be nudged towards delaying its rate cuts, especially if domestic growth seems to be gaining back momentum in H2 FY25. **The central bank is expected to cut interest rates by 75bps in FY26.**

Durable liquidity infusion from the central bank is likely to continue. We see the possibility of OMO purchases, longer duration repos and continued sterilisation of FX interventions (dollar sales) to limit the impact on domestic liquidity.

HDFC Bank Macro Forecasts 2025 & 2026

	FY24	FY25F	FY26F
Real GDP growth, % yr	8.2	6.4	6.7
Real GVA growth, % yr	7.2	6.4	6.5
Private consumption growth, % y-o-y	4.0	7.1	7.5
Investment growth, % y-o-y	9.0	7.0	7.2
Exports (goods and services) growth, % y-o-y	2.6	7.5	9.5
Manufacturing growth, % y-o-y	9.9	2.6	7.7
Services growth, % y-o-y	7.6	8.3	5.6
Nominal GDP	9.6	10.1	10.9
CPI, % y-o-y, average	5.4	5.0	4.3
Core inflation, % y-o-y, average	4.3	3.6	4.5
Current Account Deficit (as % of GDP)	-0.7	-1.5	-1.0
CAD, USD bn	-26.0	-60.0	-44.0
India Fiscal Deficit (% GDP)	5.6	4.9	4.5
RBI Policy (Repo) Rate	6.5	6.5	5.8
USD/INR, eop	83.35	85-86	86-87



The Consumption pendulum: A shift towards rural

Post the pandemic consumer spending has remained uneven – between rural and urban areas, premium and mass products, and goods versus services segments. **The lack of a broad-based recovery in consumption has meant that consumer spending growth averaged at 5.4% during FY23 & FY24 compared to the pre-pandemic 5-year average of 7% y-o-y.**

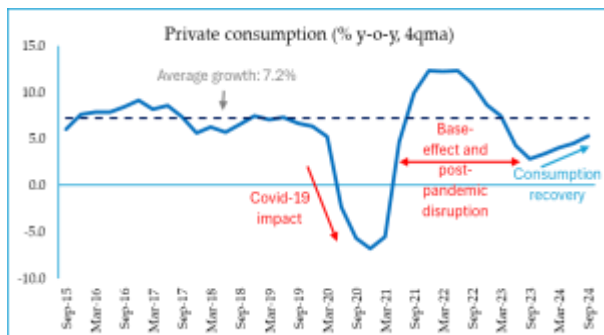
The unevenness in consumer demand has continued in FY25, although there is a shift emerging within different categories. **For one, rural demand indicators are beginning to show some green shoots.** This is likely to gain momentum in FY26 with a recovery in rural demand on the cards. To recall, rural demand had remained muted post the pandemic in part due an increase in food inflation and the impact of weather-related disruptions on farm output.

Looking ahead, in FY26, rural demand is expected to improve, as higher MSPs, normal monsoons (two to three consecutive good harvests expected to improve consumer confidence), and lower input costs could lead to improved farm profitability and boost farm incomes. In addition, as inflation, particularly food inflation, moderates, rural discretionary spends are likely to see an increase, starting with small ticket items and a likely reversal of “downtrading” to cheaper products observed in recent years.

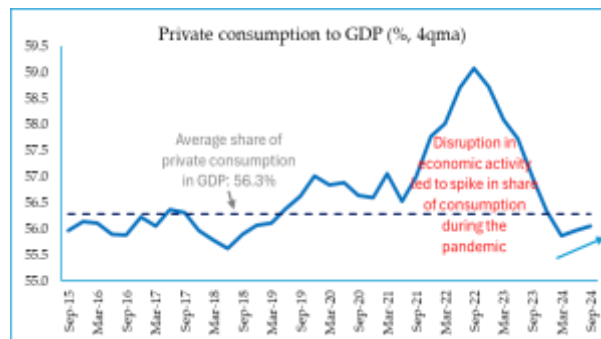
Moreover, the recent trend of state governments’ providing direct income support to different sections, especially women, could support demand at the bottom of the income pyramid. Currently, nearly half of the Indian states provide some form of income support to women in the range of Rs 1,000 – Rs. 1,500 per month, covering an estimated 20% of adult female population in the country. **While there are concerns that direct income support could wean people away from participating in the labour force, evidence from other developing economies and programs in India suggest such schemes can lead to an overall improvement in livelihoods and purchasing power.** Infact, recent data on labour force participation in India shows an increase in women labour force participation in rural areas from 33% in March 2020 to 47.6% as of March 2024.

Furthermore, the rural focus of the central government through multiple schemes (rural roads, drinking water, housing, LPG, PM-KISAN, etc) has led to an improvement in the living standards in rural areas, particularly for people at the bottom of the pyramid. For example, in the last 5 years, more than 75% of rural households have been connected with tap water supply and nearly 1.69 crore rural houses were constructed. The cumulative impact of these schemes covering necessities could begin to have a multiplier effect on rural demand.

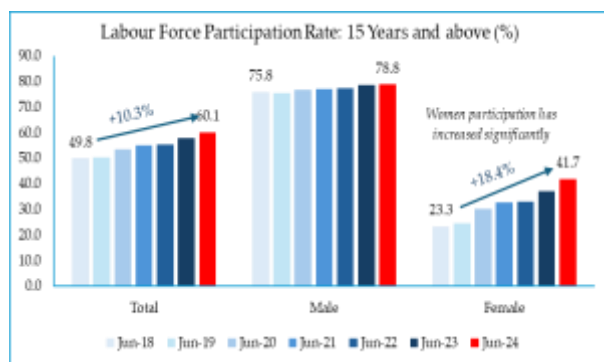
Private consumption growth beginning to rise towards the pre-pandemic average



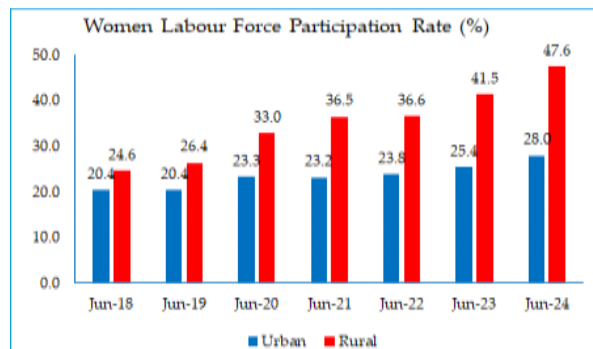
Share of private consumption in GDP beginning to rise



LFPFR has increased, led by women's participation



Rural areas driving women's participation in the labour force

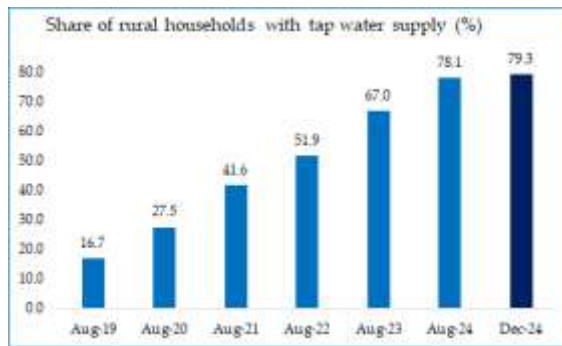


Direct income support schemes by states launched in recent years

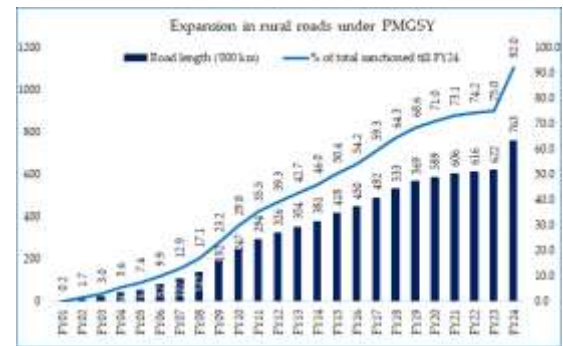
Direct Income Support Schemes of Selected States			
Scheme	State	Stipend	Eligibility
Ladli Behna Yojana	Madhya Pradesh	Rs. 1,250/month	All married/divorced/widowed women
Ladki Bahin Yojana	Maharashtra	Rs. 1,500/month	All women aged 21 - 65 years
Lakshmir Bhandar	West Bengal	Rs 500-1000/month	All women aged 25 - 60 years
Maiyaa Samman Yojana	Jharkhand	Rs. 1,000/month	All women aged 18 - 49 years
Subhshakti Yojana	Rajasthan	Rs. 55,000/ One time	Women 18+ Years, for education/business

Source: MoSPI, RBI, PIB, Media Articles, HDFC Bank

% of rural households with access to tap water supply rose to 79% in 2024 from 27% in 2020

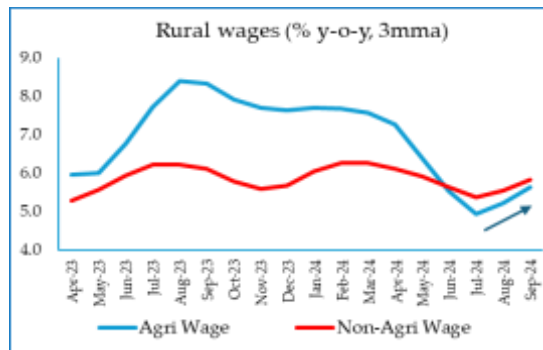


A rapid increase in rural roads constructed under PMAY

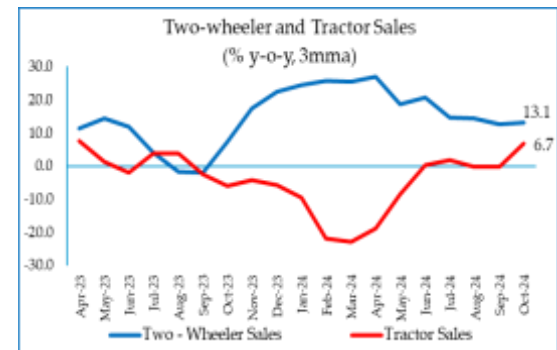


Source: MoRD, Dept of Water Resources, HDFC Bank

Rural wages have started improving



Tractor sales growth improving, 2-wheelers holding-up



Source: Labour Bureau, CEIC, HDFC Bank

Urban demand showed strong growth with a rise in pent-up demand post the pandemic. This was visible in higher demand for premium products, rise in demand for services and strong retail credit growth. However, urban consumer demand has more recently started showing signs of a moderation. **We believe that a part of this is “mean-reversion” or a normalisation as the pent-up demand effect is fading.** This is visible in a slowdown in passenger car sales, lower retail credit growth, and flatlining in air passenger traffic.

Besides this mean-reversion, urban demand is being further hit by the hangover of muted hiring in the formal job market (particularly IT/ITES) since last year. Moreover, RBI’s regulations on unsecured retail loans have lowered some sections of personal loan growth that moderated to 12.9% y-o-y as of Oct-24, from 29.9% in Nov-23.

The other issue that has perhaps started to weigh on urban demand, is the persistent price build-up in essentials like food. RBI’s consumer confidence survey shows that HHs started seeing an increase in spending on essentials since the beginning of 2024 while spending on non-essentials continued to remain flat, after improving for most part of 2023. On the other hand, urban wages have not kept up pace with the rise in inflation as seen in the growth in staff costs in

both manufacturing and IT firms slowing down over the last 12 months. This has most likely led to a drop in real wages in the urban segment.

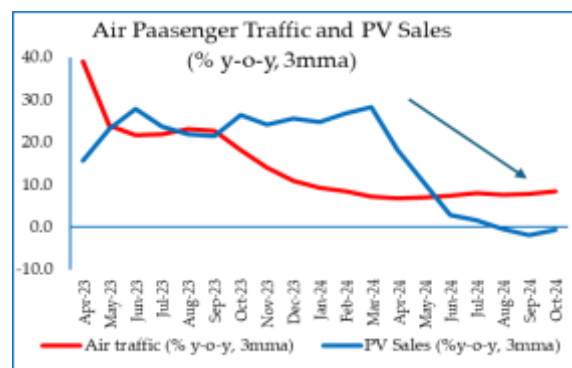
Going forward, with some stabilisation in inflation, recovery in hiring intentions in the formal sector, push to employment from the MSME sector and a growing “gig worker” economy is likely to help stabilise urban demand trends. In the informal urban segment, the continued push towards infrastructure spending by the government and continued traction in the housing sector is likely to support job creation in major sectors like construction.

Urban households could also benefit from an easing in monetary policy (both in the form of rate cuts and easier liquidity conditions for banks) in 2025. **Household leverage has increased to the highest level since FY12, as a % of GDP. For instance, household liabilities stood at 5.8% of GDP in FY23 compared to 3.9% in FY20. The shift towards “more leveraged” consumption, particularly post the pandemic, is likely to have made households’ spending decisions more sensitive to interest rates.** Therefore, a turn towards accommodative monetary policy is expected to provide support to consumer spending in FY26.

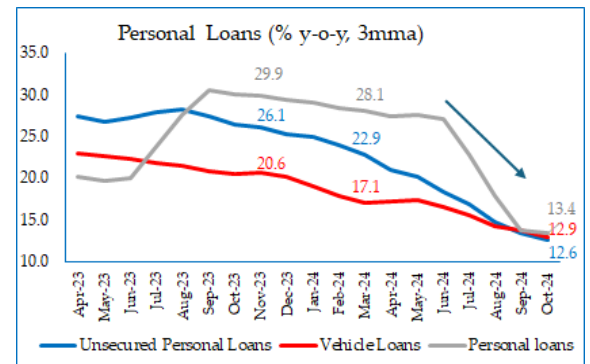
That said, the risk of a further moderation in urban demand remains in the event of a sharp correction in the equity markets which could erode some of the discretionary expenditure appetite of urban households. The share of retail investors in equity market has increased by 8% over the last decade to 23.4% in 2024 compared to 15.4% in 2014. At the same time, share of retail investments in mutual funds has remained above 50% over the last decade.

On balance, we expect private consumption to expand at 7.5% y-o-y in FY26, from 7.1% projected in FY24, with the share of consumption to GDP improving from 56.1% in FY25 to 56.6% in FY26.

Air traffic stagnant, passenger car sales declining



Personal loan growth has moderated



Note: Unsecured personal loans include credit cards, consumer loans and other personal loans.

Staff cost growth has slowed down



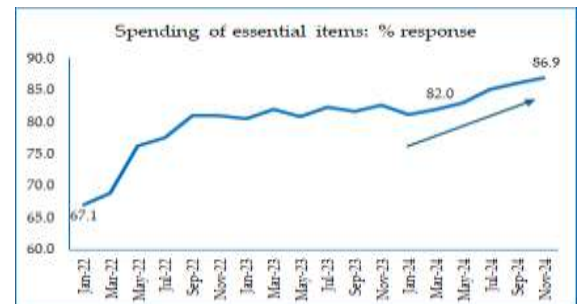
Household's leverage has increased



Spending on non-essentials stagnated



Spending on essential items has increased



Weakness in formal job market bottoming out?

Naukri Job Speak Index, YoY% (Quarterly Average)							
	Q1FY24	Q2FY24	Q3FY24	Q4 FY24	Q1 FY25	Q2 FY25	Oct-Nov'24
ITES/BPO	-16.1	-16.4	-6.1	-11.4	-4.5	-1.3	-6.4
Software	-27.0	-35.9	-17.7	-16.8	-0.9	4.0	-0.7
Construction/Engineering	22.8	27.4	15.1	12.6	10.7	10.9	10.8
Auto	8.8	-0.9	3.4	-2.4	5.1	5.9	3.8
Banking & Finance	12.2	-6.3	3.2	-5.1	6.0	7.8	-8.5
Oil & Gas	30.3	16.6	13.0	15.5	10.3	6.8	16.2
Telecom	-8.2	-27.1	-16.8	-24.2	-17.8	-2.7	-2.4
Insurance	-2.7	-8.3	2.0	-3.9	36.7	20.3	-1.4
Heavy Machinery	3.6	3.0	-2.4	5.5	6.4	5.8	10.7
Pharma	9.6	8.3	10.2	4.7	6.0	9.9	6.7
Travel & Hospitality	6.9	5.2	6.8	0.5	7.9	3.7	2.8

Construction, Retail and IT jobs beginning to lead formal employment growth

Formal payroll growth in select sectors, YoY%									
	Jan-24	Feb-24	Mar-24	Apr-24	May-24	Jun-24	Jul-24	Aug-24	Sep-24
Construction	43.1	17.9	8.2	22.2	54.5	-2.1	8.7	21.7	31.4
Engineering	20.7	14.9	-5.7	8.0	35.1	16.6	6.6	18.8	47.6
Retail	7.7	15.4	-8.8	3.3	46.1	87.4	32.5	60.5	79.9
IT (18 - 28 Years)	26.2	24.9	41.2	12.7	52.4	46.6	50.7	49.3	39.5
Total Payroll	35.4	27.1	7.5	16.9	46.2	21.7	23.3	39.1	56.8

Source: EPFO, MoSPI, RBI, CEIC, HDFC Bank

Investments: Is private capex set to rise?

Over the last three years, investment growth has averaged 11% y-o-y compared to 7% in the decade before the pandemic. This increase in investments has come primarily on the back of a rise in governments' capital expenditure in the infrastructure space. However, as the government begins to slowdown the pace of its capex growth, to achieve greater fiscal consolidation, the next leg of the cycle will have to be pushed by private capacity expansion. A look at the previous high growth phase of 2004-08 provides a reference point in this regard. During 2004-08, overall growth was supported by a strong rise in private capex – with growth in investments by the corporate sector averaging at 28.7% over the 5-year period.

In contrast, the private capex cycle has remained uneven over the last few years. Domestic private players have chosen to deleverage and pay off debt instead of taking on more credit and expand capacity over the last few years. Despite the corporate balance sheet improving, bank credit to large industries have witnessed muted growth, averaging at 5.6% during the past six quarters, compared to 4.6% in six-quarters in the pre-covid period. At the same time, growth in corporate bond issuances has moderated to a CAGR of 10.1% between Q2'FY21 – Q2'FY25, compared to a CAGR of 15.7% between FY10 – FY19.

The patchy rise in private capex can be seen in context of capacity utilisation rates remaining low (at 74.5% average between FY23-FY24) and uncertainty around the stability of consumption growth. For most sectors, we find that, a rise in CU closer to the 80% mark usually triggers an increase in fresh capacities.

Secondly, the rise in global overcapacity in key sectors like metals and oil has also been limiting large domestic capacity expansion in these sectors. Export surges from excess capacity countries, like China, lead to loss of market share for domestic players. For instance, in the steel sector, global excess capacity rose to 573 million tonnes and is set to rise further to 630 million tonnes in 2026, the highest since the steel crisis of 2015 (estimates by Global Forum on Steel Excess Capacity (GFSEC)). Similarly, petroleum supply, excluding Iran and Russia, has doubled over the past 5 years, reaching almost 6 million barrels per day (mb/day) in 2024. Further, the International Energy Agency (IEA) projects over capacity to reach 8mb/day by 2030 as economies pressured by their climate commitments, are increasingly shifting towards electric mobility and natural gas (in developed economies).

As China's domestic economy slows down and the economy is hit further by Trump tariffs, the risk of "overcapacity" flowing into emerging markets like India remains high.

That said, over the coming year, there are some positives for the private capex story as well. With a cyclical recovery in domestic demand and a rise in capacity utilisation rates in the manufacturing sector we could see some private capex plans come to fruition. RBI report on private investments (RBI Bulletin – Oct24) showed that investment intentions increased to Rs. 2.45 lakh crore for 2024-

25 compared to Rs. 1.59 lakh crore for 2023-24. Looking ahead, along with fresh investment, part of the existing intentions could also get implemented in 2025-26.

In addition, we find that smaller companies have started taking the lead in investments --- for instance by Auto ancillary players, low-end food processing and packaging. This is unlike earlier investment cycles where larger companies typically took the lead and vendors followed. **We believe that this bottom-up improvement in investments is a positive trend and points towards greater sustainability of the investment cycle. Moreover, this also bodes well for employment as MSMEs** have a higher propensity to employ and contribute nearly 60% of total nonfarm employment. MSME employment increased to 7.45 crore in FY24 (see table) from 2.73 crore in 2021. This in turn could be net positive for improving consumption demand and lead to a virtuous cycle of investment – consumption recovery at the lower end of the value chain.

The services segment could continue to see greater traction in terms of capacity expansion. In recent months, investments by mid-sized players in hotels and restaurants, transportation, real estate, hospitals as well as captive and multi-brand retail outlets in Tier -II, & III cities has increased. In healthcare, Ayushman Bharat has led to higher demand for hospitals and has improved the viability of projects in smaller cities.

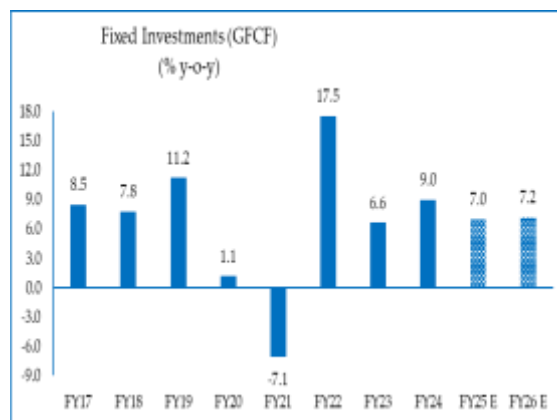
That said, in the absence of a broad-based large scale private capex revival likely in FY26, overall investment growth could continue to be driven by the government. Central government's thrust on capital expenditure (capex) is visible, going up from Rs. 2.62 lakh crore in FY18 to Rs. 11.11 lakh crore budgeted for FY25 at a CAGR of 22.9%. The central government capex to GDP ratio has risen from 2.1% of GDP in FY21 to 3.4% in FY24. Furthermore, States capex has increased from 2.3% in FY21 to 3.2% in FY24. The focus has been on key infrastructure like railways and roads. While railways capex budget has increased at a CAGR of 28.6% between FY18 – FY25, to Rs 2.52 lakh crore, allocation for roads and highways has increased at 27.1% CAGR to Rs. 2.72 lakh crore over the same period.

While government capex has seen lower traction in FY25 due to modal of conduct during the general and state elections, we could see a more even distribution of capex spending by the government during FY26. In FY25, central government capex expenditure stands at Rs. 4.67 lakh crore till October, implying another Rs. 6.45 lakh crore needs to be spent over the remaining five months to meet the budget targets. We therefore see some possibility that part of this capex spills into FY26. Also, many states have scaled down their capex targets in FY25 (Maharashtra, Madhya Pradesh, Bihar etc) compared to FY24, however the trend could reverse in the next fiscal as they play catch-up with those states where capex growth has been higher (Gujarat, Rajasthan, Tamil Nadu etc). Further, central government could increase allocation towards state's capex loan, and push them to spend more, given less than one-third has been utilised so far in FY25. In the infrastructure space, government is likely to continue being the prime driver with investments across highways, modernisation of railways – both tracks and rolling stock, ports, housing and logistics.

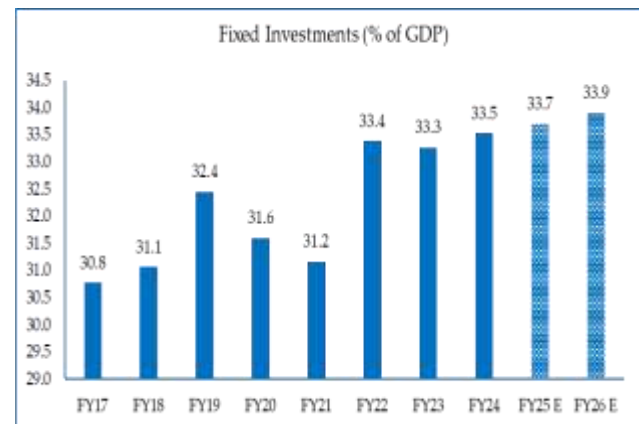
Furthermore, continued traction in certain segments of governments' revenue expenditure like on health, education, skilling, digitalisation is also likely to have a positive multiplier effect on economic output. If capital expenditure is redefined to include parts of government revenue expenditures that can improve physical and human capital formation, then this "true capex" stood at 4.2% of GDP in FY24 & FY25 compared to 2.6% in FY21 (expenditure on health, education, skilling, digitalisation, climate and non-defence capex is considered for this calculation). It is found that a 1% rise in development expenditure can raise real GDP cumulatively by 5% over a period of 4 years (RBI, February 2024).

Overall, we expect fixed investments to expand at 7.2% y-o-y in FY26, from 7.0% growth expected in FY25, with the share of fixed investments to GDP expected to improve to 33.9% in FY26.

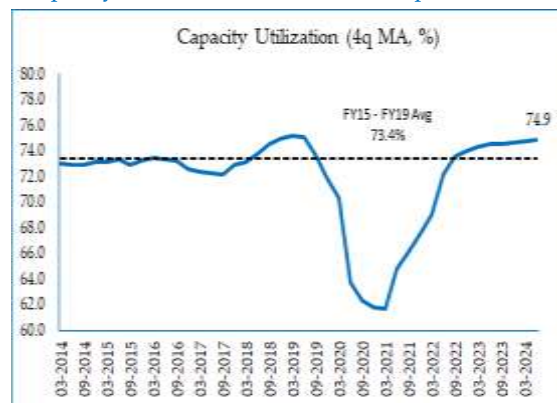
Fixed investments to expand by 7.2% in FY26



Share of investments in GDP to increase



Capacity utilisation levels need to improve further



Corporate sector led investment growth in previous cycle

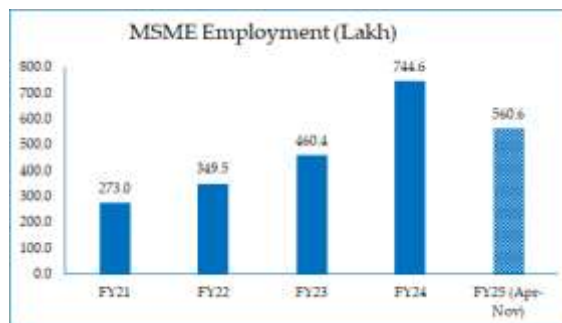
Cycles	Year	GDP (% Y-o-Y)	Fixed Investment (% Y-o-Y)			
			Total	Government	Corporate	Household
2004 - 2008 Growth Cycle	FY04	7.9	5.1	2.5	14.0	2.4
	FY05	7.9	11.5	4.1	40.5	0.4
	FY06	7.9	16.4	16.6	43.4	-3.0
	FY07	8.1	13.9	18.4	18.0	6.5
	FY08	7.7	16.3	12.6	27.8	5.5
	Average	7.9	12.6	10.9	28.7	2.3
2022 - 2023 Growth Cycle	FY22	9.7	17.5	6.5	16.4	25.4
	FY23	7.0	6.6	11.5	6.4	4.2
	FY24	8.2	9.0			
	Average	8.3	11.0	9.0	11.4	14.8

Corporate sector led the growth in both housing and machinery segments in 2004 – 08 cycle

Cycles	Housing and Construction, %Y-o-Y				Plants and Machinery, % Y-o-Y			
	Total	Government	Corporate	Household	Total	Government	Corporate	Household
2004 - 2008 Growth Cycle	3.4	0.1	15.6	3.2	7.0	8.2	13.4	1.4
	18.5	-1.8	44.2	25.6	3.8	16.6	39.3	-33.4
	15.1	21.3	74.2	-2.9	18.1	8.1	33.0	-3.4
	11.9	16.5	10.8	9.7	16.2	22.4	21.2	-1.6
	13.9	11.0	23.1	11.5	19.2	15.8	29.8	-11.6
	12.6	9.4	33.6	9.4	12.9	14.2	27.3	-9.7
2022 - 2023 Growth Cycle	23.6	11.2	23.3	32.0	11.4	-2.8	13.8	14.6
	12.6	12.8	16.1	11.1	0.0	8.6	2.6	-8.5
	18.1	12.0	19.7	21.6	5.7	2.9	8.2	3.0

Source: MoSPI, RBI, HDFC Bank

MSME employment is increasing



Source: UDYAM, PIB, HDFC Bank

Central government capex has increased at a CAGR of 22.9% between FY18 – FY25



Source: Budget Documents, CGA, CEIC, HDFC Bank

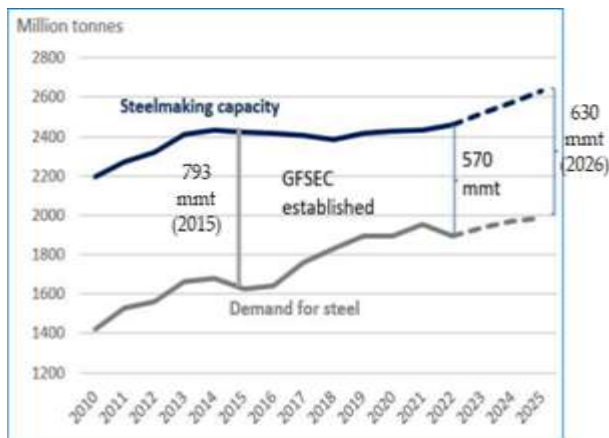
Focus of government investments



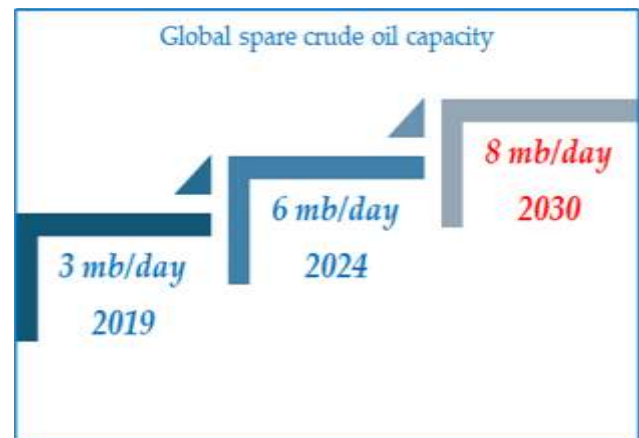
Investment Intentions (RBI) versus Actual Implemented Investments across sectors

Comparing investment trends in common sectors between sources (INR'000 Crores)						
Data Source	RBI: Investment Intentions			DPIIT: Implemented Investment		
Common Industries	2022-23	2023-24	% Y-o-Y	2022-23	2023-24	% Y-o-Y
Cement	2.1	5.2	154.4	19.3	26.0	35.1
Chemicals	5.9	11.7	97.4	31.1	81.8	162.7
Electrical & Electronics	2.8	17.7	526.3	75.2	30.3	-59.7
Food Processing	6.4	12.1	87.9	37.4	26.6	-28.8
Metals	37.6	37.5	-0.3	25.4	13.7	-46.2
Petroleum	2.8	6.5	127.7	0.1	18.3	23,020
Pharmaceuticals	5.4	3.2	-40.4	5.9	6.3	7.0
Textiles	7.2	8.9	23.0	12.4	10.1	-18.1
Transport Equipment	1.5	4.8	213.1	9.9	27.7	178.6

Global overcapacity in steel in 2026, projected to be highest since 2015



Global spare crude oil capacity is increasing



Source: GFSEC, Worl Steel, IEA HDFC Bank

Inflation & Monetary Policy

For 2025, inflationary risks have risen in developed economies, particularly in the US, driven by the threat of protectionist policies and any expansionary fiscal measures. The US central bank recently recognised this risk, indicating a slowdown in expected rate cuts in 2025.

In contrast, India's inflation problems are likely to subside going into FY26. Healthy farm output this year is likely to help ease the pressure on food inflation – the major driver of headline inflation in FY25. Moreover, we do not find evidence of a pass through of food inflation to “core” (excludes food and fuel) inflation and see inflation expectations remaining well-managed. Within services, the ability to pass on further price increases to consumers is likely to be limited as the “pent-up” demand affect continues to moderate. In addition, global commodity prices, barring gold, are likely to inch lower and therefore risks from imported inflation remain low as well.

We expect headline retail inflation to average at 5% for FY25, higher than the RBI's target of 4.8%. Although, heading into FY26, we expect CPI inflation to average at 4.3%, with inflation remaining in the range of 4-4.5% for most part of the year.

This should provide comfort to the RBI to start its rate cut cycle and we see 50-75bps of cumulative rate cuts in the cycle. The timing of when the rate cut cycle is likely to start remains a close call between February & April 2025. We are increasingly seeing the chances of a February rate cut reducing and see a higher probability of a move in April.

This is as 1) We are tracking headline inflation to be closer to 5.5% in December 2024 – the last print that would be available to the RBI before the February policy meeting, 2) the likely pause in rate cuts from the US Fed in January 2025 along with risk of increased depreciation pressures on the rupee in Q1 2025 could nudge the RBI to delay its rate cut decision to FY26.

A look at the inflation dynamics

Over the last two years, food inflation has remained high, contributing more than 50% increase in headline inflation since July 2023 -- average contribution of food to headline inflation between July 2023 and October 2024 stood at 69%. To recall, a large part of rise in food inflation has been led by vegetable prices, which recorded an average increase of 23.8% since July 2023 and pulses prices. Food inflation excluding vegetables averaged 5.8% since Jul 2023 vs. an average of 8.5% (including vegetables).

Looking ahead, food inflation is expected to ease over the coming months with the onset of winter season, arrival of summer crops, healthy kharif production in 2024-25 (5.7% YoY at 1647.05 lmt.) and an expected increased supply of pulses (cobweb phenomenon). Moreover, vegetable prices tend to be volatile and tend to cool off as sharply as they have risen. Therefore, as these inflationary pressures moderate in the months ahead (seasonal factors), food inflation might reverse its trend. Furthermore, pulses inflation tends to follow a cobweb phenomenon, wherein production decisions by farmers are influenced by last season's prices (*Pulses inflation clocked a double-digit rise*

during June 2023 and August 2024. On a FYTD 25 basis, pulses inflation rose by 12.6% as compared to 15.10% in FY24 and 2.4% in FY23) leading to a cycle of overproduction when prices rise leading to lower prices and a subsequent reduction in production in the next season. We expect this cobweb pattern to lead to overproduction of pulses next year and a subsequent moderation in prices during the next agriculture season. Therefore, pulses inflation could have a dampening effect on food inflation by the end of 2025.

Though there are supports, a risk for food inflation could stem from high global food prices, particularly oilseed prices (registered an increase of 7.5% mom in Nov-24 as per the FAO index). However, the pass through of global food inflation spikes to domestic food inflation could be limited both due to pro-active supply side measures by the government and given limited weight (3.6% of edible oil) in the food basket.

Considering the above-mentioned factors plus assuming normal monsoon conditions in 2025, **we expect food inflation to average around 4.5% in FY26 vs. an expected average of 8.4% in FY25.** Additionally, the high base effect from FY25 is also likely to pull-down the inflation figures in the upcoming fiscal year.

Given the prolonged increase in food inflation over the last two years, there has been concerns that a persistent rise in food inflation could have spill-over effect on core inflation. While food inflation has been a major contributor to headline inflation, its spillover effect on goods (ex. food and fuel) and services appears limited for now as per our analysis. Our analysis reveals a weak negative correlation (for the past decade) between food inflation and services inflation, alongside a moderate positive correlation between food inflation and goods inflation (excluding food and fuel).

So far core inflation for most part of the year has been trending lower. Core CPI inflation has remained below the 4% mark since December 2023, with the FYTD 2025 average standing at 3.4%, compared to 4.8% in the same period last year. **Notably, 86% of the core basket showed moderation during April-October 2024 relative to the corresponding period in 2023.**

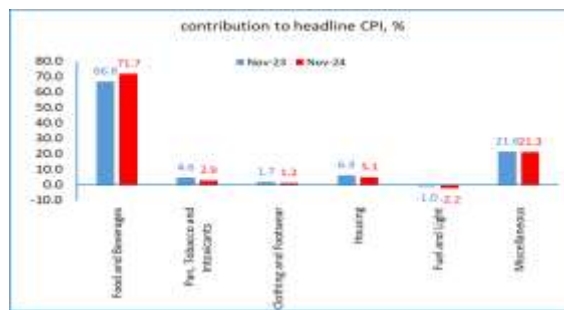
That said, core inflation could inch up marginally in FY26. Looking ahead, elevated gold prices, some second-round impact from high food inflation on goods inflation (0.4 correlation coefficient) could put some upward pressure on core inflation. Besides, a low base from FY25 is also likely to exert upward pressure on FY26 core inflation print. **On the other hand, we see limited ability of service providers to pass costs to consumers** due to flatlining urban demand and prior cost pass throughs. To recall, services inflation averaged at 4.3% in Apr-Oct 2023, higher than 3.1% in April-Oct 24. **On balance, we expect core CPI to rise to 4.1% (average) in Q4 FY25. For the full year, we expect core inflation to average at 4.5% in FY26 vs. an expected 3.6% in FY25.**

Given the recent depreciation in the rupee, there are concerns that rupee depreciation could weigh on inflation (via imported inflation). However, we find that the sensitivity of the Consumer Price Index (CPI) inflation to exchange rate movements is relatively muted due to the composition of the CPI basket. A large portion is weighted towards domestic goods and services, which are less directly influenced by currency fluctuations. We estimate that a 5% depreciation in the rupee typically results in a modest 20-basis-point increase in CPI inflation.

What about a risk from commodity prices? Gold prices are likely to exert upward pressure on inflation while a moderation in crude oil prices is likely to lend support. Gold prices are expected to remain elevated in FY26 due to several factors, including increasing risk of inflation in the west, central banks buying of gold, and strong safe-haven demand driven by heightened trade war risks. In contrast, crude oil prices are projected to ease as global supply is likely to surpass demand. According to the International Energy Agency (IEA), global oil supply is projected to exceed demand by over 1 million barrels per day (bpd) in 2025. Key contributors to the increased oil supply include higher output from Venezuela, Iran, and the United States, with the U.S - alone accounting for approximately 20% of global production. On the demand side, a slowdown, particularly from China, is expected to exert additional downward pressure on oil prices. Moreover, the rapid deployment of clean energy technologies is increasingly displacing oil in sectors such as transportation and power generation, further dampening demand. On balance, we assume oil prices to average at \$70-75 pbl. in 2025.

Food contributed 71.7% increase in CPI inflation in Nov-24 vs. 66.8% in Nov-23

Correlation coefficient for the last decade



Source: CEIC, MoSPI, HDFC Bank

Correlation coefficient	Current	3-month lag	6-month lag
Food and services	-0.3	-0.2	-0.1
Food and goods (ex food and fuel)	0.2	0.4	0.4

Source: CEIC, MoSPI, HDFC Bank

Moderate positive correlation between food and goods (ex. food and fuel) inflation

Weak negative correlation coefficient between food and services inflation

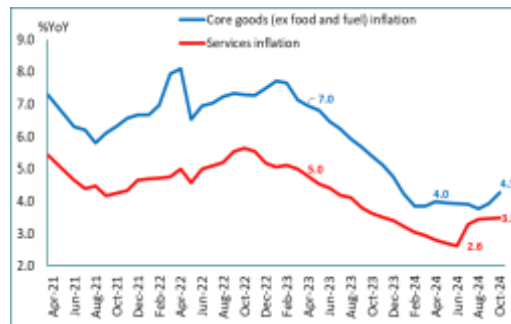


Source: CEIC, MoSPI, HDFC Bank

Items that saw an increase/decline in prices within core inflation in April-Oct 2024 (vs. April Oct 2023)



Core goods & Services Inflation



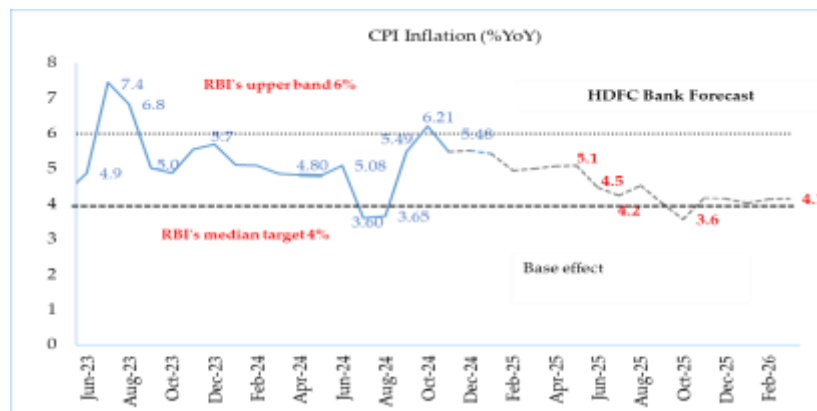
Source: CEIC, MoSPI, HDFC Bank

3-month and 1-year ahead inflation expectations eased in Sep-24



Source: CEIC, MoSPI, HDFC Bank

CPI inflation trajectory: HDFC Bank expectations



Source: RBI, CEIC and HDFC Bank

Balance of Payments: The Trump Risk

We expect the current account deficit (CAD) for FY25 to stand at 1.5% of GDP and at 1.0% of GDP in FY26. This assumes average crude oil price at USD 70-75 pbl. and gold prices to average at USD 2800 oz. in FY26. Narrowing of current account deficit in FY26 is likely to be led by higher services exports (net) and remittances, and a slowdown in crude oil imports as oil prices trend lower on excess global supply. However, export growth is anticipated to remain subdued due to a slowdown in India's key trading partners and the influence of rising trade protectionist policies ("*The Trump effect*"). On the other hand, gold imports are expected to rise further in FY26 on the back of higher gold prices and act as a drag on the current account.

The Balance of Payments (BoP) is projected to record a deficit of approximately USD 10 billion in FY25, before turning into a surplus of close to USD 18 billion in FY26. The widening Current Account Deficit (CAD), coupled with a slowdown in Foreign Direct Investment (FDI) and Foreign Institutional Investor (FII) flows in FY25 is expected to keep the BoP in deficit during the fiscal year. On a fiscal year-to-date (FYTD) basis, net FDI flows are recorded at USD 3.6 billion, while FII flows amount to USD 11.4 billion.

Given this backdrop, we expect the USD/INR pair to remain under depreciation pressure for the remaining part of FY25 and see a move between 85-86 in Q1 2025. For FY26, we see the pair crossing 86.0 levels and ending the year close to 86.50-87.0 levels.

Trump Effect

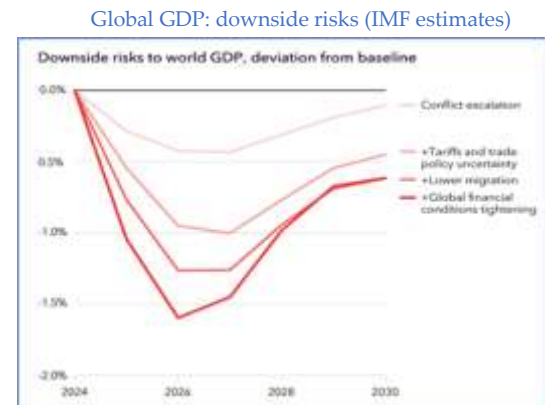
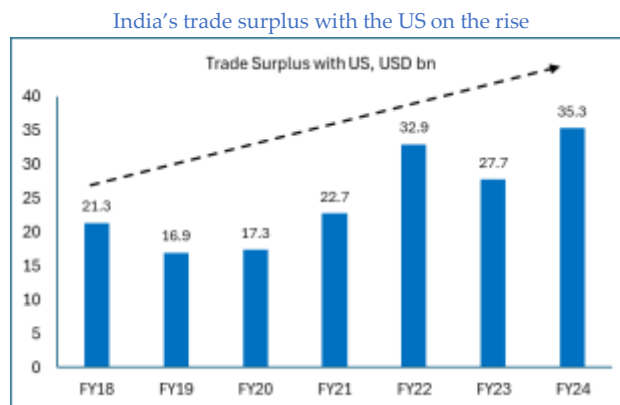
Mr. Donald Trump's second term brings about considerable uncertainty around trade policies with a likely focus on reducing trade deficits with nations that have surpluses with the U.S. Broad tariffs could reduce global export demand, with surplus countries likely to face heightened scrutiny under Trump 2.0.

The US accounts for approximately 18% of India's merchandise exports, with key export items including engineering goods, pharmaceuticals, petroleum products, iron and steel, and textiles. In FY24, India recorded a merchandise trade surplus of around \$35 billion with the US. However, an escalation in the protectionist stance by the U.S. – targeted towards countries with a trade surplus with the US -- could pose challenges for India, especially if tariffs/restrictions affect critical sectors such as pharmaceuticals, textiles, and engineering goods.

Moreover, protectionist policies pose a risk for global growth and trade and in turn for India's exports and domestic growth. **According to the United Nations Conference on Trade and Development (UNCTAD), a 1% decline in global GDP growth could lead to a 1.88% decrease in India's export growth.** Moreover, we find a 1% decline in India's exports could lead to a 20-25 bps decline in domestic GDP. This highlights the vulnerability of India's export sector to fluctuations in global economic conditions.

However, not all is bad. There could be opportunities for India under Trump 2.0. Trump's protectionist trade policies might continue to push businesses to diversify production outside China, giving India an opportunity to expand its market share. Key sectors like IT, pharmaceuticals, and manufacturing are well-positioned to capitalize on these trends, offering significant growth opportunities in the medium to long term.

India has also seen a noticeable increase in its Revealed Comparative Advantage (RCA) across several sectors since 2018. RCA measures a country's comparative advantage in a product relative to the world market. A higher RCA indicates that a country has a stronger ability to compete in the global market for that particular product. Some key sectors where India's RCA has increased since 2018 include: Rice (17.8), vegetables, roots, etc (1.1), sugar, molasses, honey (4.3), spices (10.8), tobacco (4.5), silk (3.4), jute, other textiles fibers (2.3), petroleum oils (4.5), petroleum gases (2.4), cotton fabric, woven (4.7), aluminium (1.9), lead (4.8), zinc (2.9).



Source: Ministry of commerce and industry, IMF, WEO, IMF staff estimates, HDFC Bank

Trump 1.0 (Recap) – Impact/tariffs on India – What happened during Trump 1.0

Revoked India's Generalised System of Preferences (GSP) status in 2019

Tariffs imposed on steel (25%), aluminum (10%)

BOP forecasts: We expect CAD to widen to 1.5% of GDP in FY25 and ease to 1.0% of GDP in FY26

	USD bn			% YoY		
	FY24 E	FY25E	FY26 E	FY24 E	FY25E	FY26 E
CAD	-26	-60	-44			
Merchandise	-245	-307	-364			
Exports	441	426	420	-3.2	-3.5	-1.5
Imports	686	733	784	-4.9	6.8	3.0
Oil	180	182	180	-14.2	1.6	-1.4
Gold	46	75	91	30.1	65.2	20.6
NONG	450	475	513	-4.5	5.5	8.0
Invisibles	219	247	320	10.4	12.9	7.0
Services	163	185	205	13.6	13.7	10.8
Transfers	106	109	115	4.9	3.0	5.5
CAD % of GDP	-0.7%	-1.5%	-1.0%	-	-	-
Capital Account	90	50	62			
Foreign Investment	54	21	35			
FDI	10	8	15			
FII	44	13	20			
Loans	7	8	7			
BoP	64	-9.7	18			

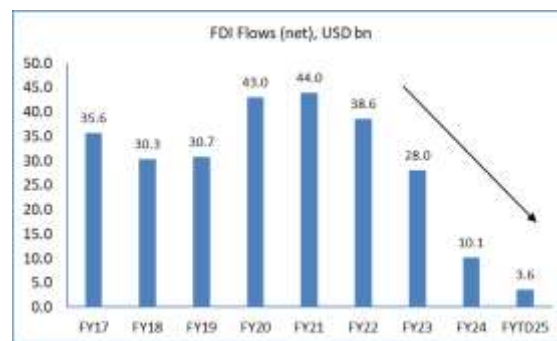
Source: RBI, CEIC and HDFC Bank

FII Flows: FII inflows (total stood at USD 11.4 bn in FYTD25 (vs. USD 41. Bn in FY24)



Source: NSDL, CEIC, HDFC Bank

FDI flows: Net FDI flows stood at USD 3.6 bn in FYRD 25 (vs. USD 10.1 bn in FY24)



Source: RBI, CEIC, HDFC Bank

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